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[TENTATIVE] ORDER GRANTING DEFENDANT PSF 588 ATLAS' MOTION TO STAY

I. INTRODUCTION

This consolidated construction action involves a troubled construction project located at 588 Atlas Avenue in Monterey Park, California. The property is owned by Defendant PSF 588 Atlas LLC ("PSF").

On October 12, 2023, Plaintiff Electrolurgy Manufacturing, Inc. filed this action.

Numerous additional complaints by other parties were eventually consolidated into this action. In four of those cases (23AHCV02394, 23AHCV02515, 23AHCV02512, and 23AHCV02479), GCX, LLC ("GCX") filed its operative First Amended Cross-Complaints ("FAXC") against PSF, Sonnenblick Development, LLC, Sonnenblick Monterey Park, LLC, Robert Sonnenblick, and Roes 12 through 50, inclusive, asserting causes of action for: (1) breach of contract, (2) breach of contract, (3) open book account, (4) account stated, (5) quantum meruit, (6) foreclosure of mechanic's lien, and (7) foreclosure of mechanic's lien.

On August 3, 2026, PSF filed the instant motion to stay or enjoin GCX's affirmative claims against PSF in arbitration pursuant to Code of Civil Procedure section 526. On August 13, 2026, GCX filed an opposition, and on August 19, 2026, PSF filed a reply.

Request for judicial notice

PSF requests judicial notice of Exhibits 1 through 8. Exhibits 1 through 6 are records of this Court, and Exhibits 7 and 8 are recorded instruments.

The Court GRANTS PSF's request for judicial notice. The Court takes judicial notice of the existence and contents of the documents, but not the truth of any disputed factual assertions contained therein

II. LEGAL STANDARD

Arbitration is a matter of contract, and a party cannot be required to arbitrate a controversy it did not agree to submit to arbitration. (Code Civ. Proc., §§ 1281, 1281.2.) Whether an agreement to arbitrate exists is generally a question for the court.

(Benaroya v. Willis (2018) 23 Cal.App.5th 462, 469.)

Code of Civil Procedure section 526 authorizes injunctive relief where, among other circumstances, a party is threatened with injury that cannot adequately be compensated by damages or where an injunction is necessary to restrain an act that would violate the rights of another. In determining whether to issue preliminary injunctive relief, the Court considers the likelihood that the moving party will prevail on the merits and the relative balance of harms. (IT Corp. v. County of Imperial (1983) 35 Cal.3d 63, 69–70.)

III. ANALYSIS

PSF moves for an order staying or enjoining GCX from prosecuting its affirmative claims against PSF in the newly commenced arbitration, GCX, LLC v. PSF 588 Atlas, LLC, AAA Case No. 01-26-0000-40266. PSF does not seek to stay its own pending claims against GCX for defective, incomplete, and nonconforming work, or GCX's indemnity claims against the subcontractors in the existing arbitration. (Motion, pp. 1-2.)

PSF argues that the Court, rather than the arbitrator, must determine whether PSF agreed to arbitrate GCX's affirmative payment claims. PSF contends it is a nonsignatory to the Construction Agreement and that incorporation of the AAA Construction Industry Arbitration Rules cannot delegate the threshold issue of contract formation to the arbitrator unless PSF first agreed to the arbitration agreement and its delegation provision. (Motion, pp. 14-15.)

PSF further argues that its September 2024 arbitration demand constituted limited consent to arbitrate only its assigned defect, warranty, and incomplete-work claims, and did not extend to GCX's later affirmative payment claims. (Id.)

PSF also argues that the assignment transferred contractual rights but did not impose Sonnenblick's obligations on PSF. PSF contends the Assignment of Construction Documents expressly disclaims any assumption of obligations, and that section 13.2.2 conditions Sonnenblick's right to assign but does not impose the Owner's obligations on PSF. (Motion, pp. 15-18.)

Finally, PSF argues that GCX waived any right to arbitrate its affirmative payment claims by litigating against PSF through adverse rulings before commencing the new arbitration. PSF alternatively argues that GCX's payment claim is barred by claim preclusion and claim splitting. PSF further contends that absent a stay, it will be forced to arbitrate claims to which it never consented, while GCX will suffer no prejudice from the limited stay. (Motion, pp. 19-23.)

GCX opposes the motion, arguing that the arbitrator, rather than the Court, must determine whether GCX's affirmative claims are arbitrable. GCX contends the Construction Agreement incorporates the AAA Construction Industry Arbitration Rules, which authorize the arbitrator to determine objections concerning the existence, scope, or validity of the arbitration agreement. GCX further argues that PSF consented to those rules by commencing and participating in arbitration under the Construction Agreement. (Opposition, pp. 8-10.)

GCX alternatively argues that PSF consented to arbitration of GCX's claims by invoking the Construction Agreement's arbitration provision to pursue its own claims against GCX. GCX disputes PSF's reliance on section 15.4.4.2, arguing that the provision concerns joinder of additional parties and does not limit the scope of claims subject to arbitration. (Opposition, pp. 11-13.)

GCX further argues that PSF assumed Sonnenblick's obligations under the Construction Agreement. GCX contends that the Loan Agreement, Assignment Agreement, and Construction Agreement, read together, establish that PSF's exercise of its rights following Sonnenblick's default required PSF to assume the Owner's obligations, including the obligation to pay GCX and arbitrate payment disputes. GCX also disputes PSF's interpretation of the Assignment Agreement's disclaimer of assumption. (Opposition, pp. 13-17.)

Finally, GCX argues that it did not waive arbitration because its mechanic's lien foreclosure claims preceded PSF's arbitration and were distinct from its present payment claim, which GCX contends did not ripen until the Court determined its mechanic's liens were extinguished. GCX also argues that claim preclusion does not apply because neither the summary judgment on its foreclosure claims nor the denial of leave to add a quantum meruit claim adjudicated the merits of its present breach-of-contract claim. GCX further contends PSF will suffer no irreparable harm because PSF may raise its arbitrability objection before the arbitrator. (Opposition, pp. 17-20.)

The Court must decide whether PSF agreed to arbitrate GCX's affirmative payment claims

The Court agrees with PSF that it must first determine whether PSF agreed to arbitrate GCX's affirmative payment claims. GCX argues that the Construction Agreement incorporates the AAA Construction Industry Arbitration Rules, which authorize the arbitrator to determine objections concerning the existence, scope, or validity of the arbitration agreement. (Opposition, pp. 8-10.) Here, however, PSF is a nonsignatory to the Construction Agreement and disputes whether it agreed to arbitrate GCX's affirmative payment claims in the first instance. Under Code of Civil Procedure section 1281.2, the Court may order arbitration only if it determines that an agreement to arbitrate the controversy exists. California authority likewise provides that whether an arbitration agreement binds a nonsignatory is a threshold question for the court. (*Benaroya v. Willis* (2018) 23 Cal.App.5th 462, 469.) Moreover, incorporation of arbitral rules does not displace the Court's role where the threshold dispute is whether the party agreed to arbitrate in the first place. (*Banc of California, National Assn. v. Superior Court* (2021) 69 Cal.App.5th 357, 367.)

Thus, incorporation of the AAA Rules does not, by itself, establish that PSF agreed to arbitrate or delegate arbitrability as to GCX's affirmative payment claims. The Court must first determine whether PSF's assent to arbitration extends to those claims.

PSF's arbitration demand did not constitute consent to GCX's affirmative payment claims

GCX argues that PSF consented to arbitration by bringing its own claims against GCX under the Construction Agreement. According to GCX, PSF cannot invoke the arbitration provision to pursue its own claims while limiting its consent to those claims. (Opposition, pp. 11-12.)

The Court is not persuaded. GCX bears the burden of establishing an agreement to arbitrate the controversy at issue. PSF's September 2024 arbitration demand shows that PSF consented to arbitrate its assigned claims against GCX for defective, incomplete, and nonconforming work. It does not, however, establish that PSF agreed to arbitrate all claims arising under the Construction Agreement, including GCX's affirmative payment claims.

GCX argues that section 15.4.4.2 concerns joinder and does not limit the scope of the arbitration provision. (Opposition, pp. 12-13.) While the provision addresses joinder, it also states that an additional entity's written consent to arbitration does not constitute consent to arbitrate claims not described in the written consent. The provision is therefore consistent with PSF's position that its consent was limited to the claims it submitted and does not establish the broader consent urged by GCX.

Thus, PSF's commencement of arbitration, standing alone, does not establish that it agreed to arbitrate GCX's affirmative payment claims.

PSF did not assume Sonnenblick's obligations under the Construction Agreement

GCX also argues that PSF assumed Sonnenblick's obligations under the Construction Agreement through the Loan Agreement and Assignment of Construction Documents. GCX relies principally on section 13.2.2 of the Construction Agreement, which permits the Owner to assign the contract to a construction lender if the lender assumes the Owner's rights and obligations. (Opposition, pp. 13-17.)

The Court is not persuaded. Section 13.2.2 addresses when the Owner may assign the Construction Agreement without the Contractor's consent. It does not, by itself, constitute an assumption by a nonsignatory lender of the Owner's obligations. PSF was not a party to the Construction Agreement, and GCX must therefore establish some separate basis for finding that PSF assumed Sonnenblick's obligations.

The Assignment of Construction Documents weighs against such a finding. The agreement gave the lender certain rights, including the right, but not the obligation, to cure defaults and enforce the Construction Documents for its own benefit. However, the same agreement provides that the lender "shall not be obligated to perform or discharge" obligations under the Construction Documents and that "[n]either this assignment nor any action by Assignee shall constitute an assumption by Assignee of any obligations under any Construction Documents." GCX argues that these provisions must be read together and that PSF's exercise of its rights following Sonnenblick's default required it to perform the Owner's obligations. (Opposition, pp. 15-16.) However, that interpretation is difficult to reconcile with the agreement's express language that neither the assignment nor any action by the assignee constitutes an assumption.

Nor do the later documents establish such an assumption. The Assignment and Assumption of Contracts Agreement expressly identifies the "Management Agreement" as the agreement whose obligations PSF assumed, not the Construction Agreement. Thus, the assignment documents do not establish that PSF assumed Sonnenblick's payment obligations to GCX or, on that basis, agreed to arbitrate GCX's affirmative payment claims.

Stay is permitted

Having determined that PSF did not agree to arbitrate GCX's affirmative payment claims, the balance of harms favors the requested relief. Absent a stay, PSF would be required to arbitrate claims it did not agree to arbitrate. Thus, the Court finds that staying or enjoining GCX's affirmative payment claims against PSF is warranted.

Because the Court finds that PSF did not agree to arbitrate GCX's affirmative payment claims, the Court does not reach PSF's alternative arguments concerning waiver, claim preclusion, or claim splitting.

The Court GRANTS PSF's motion to stay arbitration.

IV. ORDER

The Court GRANTS PSF's motion to stay arbitration. GCX is stayed from prosecuting its affirmative claims against PSF in AAA Case No. 01-26-0000-40266 based on alleged payment or other obligations under the Construction Contract. PSF's assigned defect, warranty, and incomplete-work claims in AAA Case No. 01-24-0007-6210, and GCX's claims against the subcontractors, may proceed.

PSF is to give notice.

Dated: August 26, 2026

JARED D. MOSES

JUDGE OF THE SUPERIOR COURT